Independent Valuation Study — Educational Analysis

Alexandria Mineral Oils Company S.A.E. (EGX: AMOC)

Downstream petroleum processor — base and special mineral oils, paraffin wax, gas oil, naphtha, liquefied petroleum gas and fuel oil · Egyptian Exchange · reporting currency EGP · analysis anchored on the closing price of 9.10 on 2026-08-06.

READ FIRST — what this document is. An educational valuation study. It contains no recommendation, no rating and no price target. What it contains is a fair-value range built from the audited financial statements, a stated cost of capital and explicitly listed assumptions — together with a separate, probabilistic map of where the share price could trade over the next one and three months. The two are different objects and are never blended.

THIS EDITION IS BUILT ON THE AUDITED STATEMENTS. The consolidated financial statements for the transition period 1 July 2025 to 31 December 2025, audited by Crowe (Dr A. M. Hegazy & Co) with an UNQUALIFIED opinion signed at Giza on 18 February 2026; the limited-review statements for the six months to 31 December 2024; and the reviewed statements for the three months to 31 March 2026. Every company figure in this study is read off one of those three, with the note number where the filing gives one.

What that replaced, and why it matters. A previous edition of this study was built WITHOUT the filings, which could not be reached from the environment in which it was produced. It triangulated revenue across press reports, reconstructed the balance sheet from four disclosed lines and a set of days assumptions, and BUILT a cost stack from house estimates of yields, energy intensity and a solved feedstock differential. Twelve of its published assumptions were overturned by the filings. The fair-value estimate moved from EGP 9.38 to EGP 7.16. Section 1.1 lists every one of the twelve.

What a fair value is not. A fair-value estimate is a statement about what the business appears to be worth on the assumptions set out here. It is not a forecast of the share price and carries no implied timeframe.

Headline

Alexandria Mineral Oils is the only refinery listed on the Egyptian Exchange. It takes feedstock from the Egyptian General Petroleum Corporation and separates it into eight disclosed product lines: base and special mineral oils and paraffin wax at the high-value end, and gas oil, naphtha, liquefied petroleum gas, fuel oil and heavy fuel oil in volume. In the audited six months to December 2025 it sold 808,084 tonnes for EGP 20,736mn.

The economics are those of a thin-margin pass-through processor, and the audited cost note says so in one line: RAW MATERIALS ARE 90.7% OF COST OF SALES and 85.1% OF NET SALES. Salaries are 4.5% of cost of sales, energy and maintenance 4.1%, chemicals 0.3% and depreciation 0.3%. That is the whole of it. The value is not in the revenue line, which is largely feedstock passed through at world product prices, and it is not in cost control either — it is in the spread between what the feedstock costs and what the slate fetches, and in the tonnage that spread is earned on.

Two structural facts shape everything that follows. The first is the year-end change: the company moved from a 30 June financial year to 31 December, with July to December 2025 filed as an audited six-month transition period. There is therefore NO clean audited twelve-month period, and the base year used here is the nine contiguous audited months from 1 July 2025 to 31 March 2026, annualised. The second is the balance sheet: cash of EGP 2,464mn against loans of EGP 21.0mn, so the company is NET CASH by EGP 2,443mn — EGP 1.89 a share, 21% of the market capitalisation.

The third fact is the one that does most to the valuation, and it is visible only in the cash flow statement. CASH CAPITAL EXPENDITURE IS RUNNING BELOW THE DEPRECIATION CHARGE: EGP 30mn paid in the audited half against EGP 70mn charged, and EGP 65mn against EGP 41mn in the reviewed quarter. Annualised, capital expenditure is 0.86 times depreciation. The plant is being run, not renewed. That lifts free cash flow now and it makes the terminal growth rate hard to defend, and section 1.9 refuses to smooth the conflict.

On the primary construction the four lenses centre at EGP 7.16 a share against a market price of 9.10 — -21%. The lenses do not agree with each other and that disagreement is the finding rather than a nuisance to be averaged away: the cash-flow lens says EGP 6.85, normalised earnings power EGP 8.70, relative multiples EGP 6.41 and book value against a sustainable return EGP 7.06.

Valuation summary — every read at a glance

Read	Basis	Range (EGP)	Central	vs spot
Free cash flow to the firm	Five-year forecast off the audited base year; cost of capital gliding 31.6% → 16.5%; terminal growth 5%. TERMINAL VALUE = 58.7% OF ENTERPRISE VALUE	2.37 – 14.66	6.85	-25%
Relative multiples	4.5× enterprise value to 2027E EBITDA, discounted back at the model's own factor, with the interim free cash flow added back	5.62 – 7.58	6.41	-30%
Normalised earnings power	7.5× on 2028E attributable earnings of EGP 1.16 a share, struck on the AUDITED credit-interest line rather than a modelled interest path	6.38 – 11.02	8.70	-4%
Book value and sustainable return	Justified price-to-book 1.9× on AUDITED attributable book value of EGP 3.71 a share, at a sustainable return of 28% and the perpetual cost of equity 17.1%	3.82 – 7.98	7.06	-22%
WEIGHTED CENTRAL	**Weights 45% / 20% / 20% / 15%**	**2.37 – 14.66**	**7.16**	**-21%**
Market price	Closing price on 2026-08-06	—	9.10	—

Terminal value is 58.7% of enterprise value, stated here and again in the bridge in section 1.8. Bear and bull on the cash-flow lens are FIVE drivers moved together and are not a confidence interval; the other three lenses take their ranges on multiples and on the sustainable return, so the full span is an envelope of four differently-constructed ranges and should not be read as a distribution.

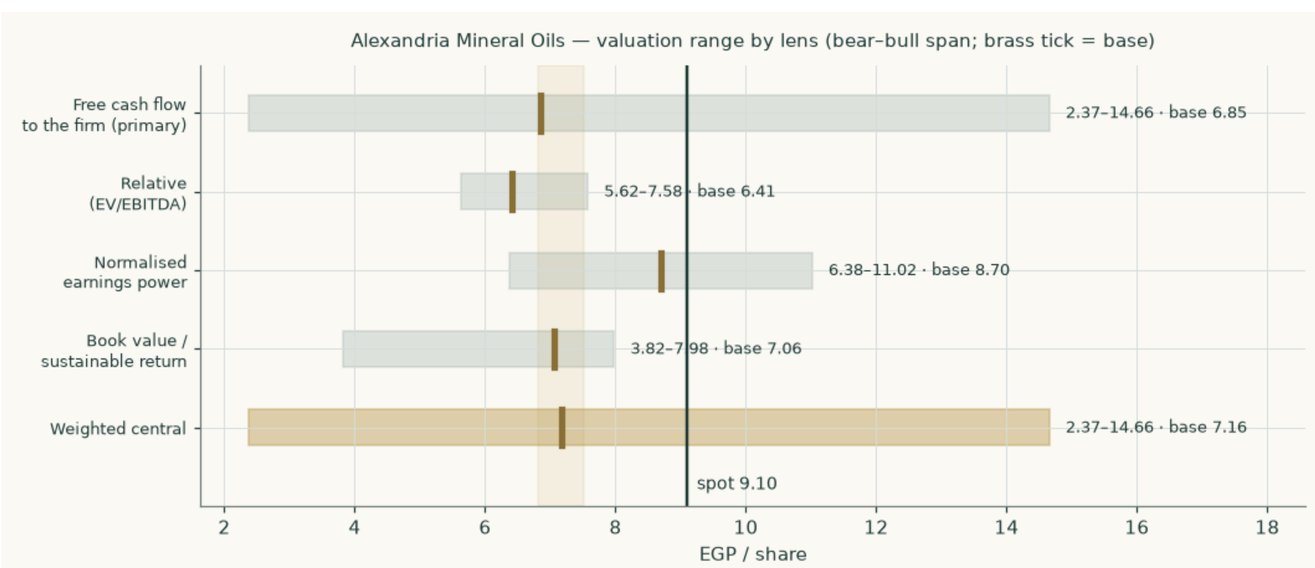

Figure 1 — the four lenses and the weighted central, each shown bear to bull with the base marked. The vertical rule is the market price.

1 Fundamental valuation

1.1 What the audited statements overturned

This section exists because a previous edition of this study was published on triangulated figures and is now known to have been wrong in twelve identifiable places. Listing them is not penance; it is the only way a reader can judge how much weight to put on the parts that did not change.

#	The published assumption	What the filing says
1	Capital expenditure at 1.45%→1.25% of revenue, about EGP 604mn a year	Cash paid: EGP 30mn in the audited half and EGP 65mn in the reviewed quarter — EGP 127mn annualised, about a fifth of the assumption
2	Depreciation at 1.1% of revenue, about EGP 458mn a year	EGP 148mn annualised, about a third
3	A cost stack built from house yields, energy intensity and a solved feedstock differential; no salaries line inside cost of sales at all	Note 15-A: raw materials 90.7%, salaries 4.5%, other 4.1%, supporting materials 0.3%, depreciation 0.3%
4	Chemicals charged at roughly five times the truth	Supporting materials are EGP 65mn in the half — 0.33% of cost of sales
5	Three product lines from a table obtained via a reviewer	Note 14-A: EIGHT lines with tonnes AND value. Fuel oil (mix) alone is 57% of tonnage, which the three-line build had merged with gas oil, naphtha and LPG
6	Operating expense at 1.25% of revenue	EGP 1,621mn annualised — 3.89% of revenue, more than three times the assumption
7	Property, plant and equipment reconstructed as a residual at EGP 2,403mn	Note 6: EGP 893mn net, plus EGP 407mn of projects under construction = EGP 1,300mn
8	Net working capital at 2.0% of revenue	EGP 1,734mn — 4.2% of the base year
9	Minority interest inferred at 3.0% of group profit	Disclosed at 4.645%. The subsidiary is Alexandria Wax Products, 86.45% owned
10	The Egyptian General Petroleum Corporation described as a 20% shareholder	Note 18: Alexandria Petroleum Company holds 20.77%. EGPC is not a shareholder at all — it is the counterparty, on both sides
11	Historical other income read as devaluation FX gains and zeroed forward	Note 14-B: mostly credit interest and provision reversals. The foreign-exchange gain line was ZERO in the transition half
12	No tax-disputes provision carried	Note 10-1: EGP 921mn — EGP 0.71 a share

Errors 1, 2 and 6 push in opposite directions and do not cancel: lower capital expenditure and lower depreciation lift free cash flow, while an operating cost base three times larger takes far more away. The net effect on the first forecast year's operating profit is a fall of about 12%, and on the weighted central a fall from EGP 9.38 to EGP 7.16.

1.2 The base year is nine audited months, and here is why

The company moved its year-end from 30 June to 31 December. July to December 2025 was filed as an audited six-month transition period, and the three months to March 2026 have been reviewed. The April-to-June 2025 quarter is not separately filed. There is therefore no clean audited twelve-month period available, and constructing one would mean estimating the missing quarter.

This study does not estimate it. The base year is the NINE CONTIGUOUS AUDITED MONTHS from 1 July 2025 to 31 March 2026, annualised by four thirds. That scaling is the only step between the filings and the base year, and no part of what it scales is estimated.

EGP mn	6M to Dec-2025	3M to Mar-2026	Nine months	Annualised

Net sales	20,736	10,511	31,247	41,662
Cost of sales	(19,462)	(9,440)	(28,901)	(38,535)
GROSS PROFIT	**1,274**	**1,071**	**2,345**	**3,127**
GROSS MARGIN	**6.14%**	**10.19%**	**7.506%**	**7.506%**
Operating expense	(788)	(428)	(1,216)	(1,621)
Depreciation and RoU amortisation	70	41	111	148
CASH capital expenditure	30	65	95	127
Net profit after tax	656	635	1,292	1,722

Effective tax across the two filed periods is 22.12% — computed, not assumed, and against a statutory 22.5%. Note the gross margin: 6.14% in the audited half and 10.19% in the reviewed quarter. The March-2026 quarter is the strongest margin in the disclosed record by a wide margin and it is a SINGLE quarter; the base year blends it with the half that precedes it rather than annualising it alone.

1.3 The margin record, as filed

	6M Dec-2024	3M Mar-2025	6M Dec-2025	3M Mar-2026
Net sales (EGP mn)	18,246	10,068	20,736	10,511
Gross profit (EGP mn)	1,251	509	1,274	1,071
GROSS MARGIN	**6.85%**	**5.05%**	**6.14%**	**10.19%**
Operating profit (EGP mn)	744	247	486	643

Four consecutively filed periods. This is not a modelled path: it is gross profit over net sales as reported. The shape matters — 6.85% in the half to December 2024, a collapse to 5.05% in the March-2025 quarter, a recovery to 6.14% in the half to December 2025, and 10.19% in the March-2026 quarter. A business whose quarterly gross margin swings from 5% to 10% is not one whose margin can be forecast to two decimal places, and this study does not pretend otherwise.

1.4 Revenue, from the audited product table

Note 14-A gives eight product lines with tonnes AND value for the transition half. Every realisation in this model is one disclosed number divided by another. Nothing is reconstructed, no crude parity is invoked and no crack multiple is solved.

Product line	Tonnes	Value (EGP mn)	EGP / tonne	Share of tonnage	Share of value
Base and special oils	54,969	2,597	47,250	6.80%	12.53%
Paraffin wax	41,774	2,042	48,881	5.17%	9.85%
Gas oil	171,685	5,122	29,832	21.25%	24.70%
Naphtha	41,431	959	23,141	5.13%	4.62%
Liquefied petroleum gas	23,736	816	34,389	2.94%	3.94%
Fuel oil (mix)	460,154	8,976	19,506	56.94%	43.29%
Heavy fuel oil	14,328	224	15,642	1.77%	1.08%
Waste	8	0	11,176	0.00%	0.00%
TOTAL	**808,084**	**20,736**	**25,660**	**100.00%**	**100.00%**

The specialty slate — base and special oils plus paraffin wax — is 11.97% of the tonnage and 22.37% of the value. That gap is the whole investment case for the mix. Fuel oil (mix) is 56.9% of tonnage at EGP 19,506 a tonne against EGP 47,250 for oils and EGP 48,881 for wax.

Half-on-half value growth by line, against the December-2024 comparative in the same note: Base and special oils +2.8% · Paraffin wax +21.3% · Gas oil -1.9% · Naphtha -7.3% · Liquefied petroleum gas +18.7% · Fuel oil (mix) +29.1% · Heavy fuel oil +60.7%. Wax and fuel oil led;

gas oil and naphtha both FELL. The forecast volume ranking is taken from that measured record rather than from a view, and the levels are struck well below those half-on-half rates because a single half is not a trend.

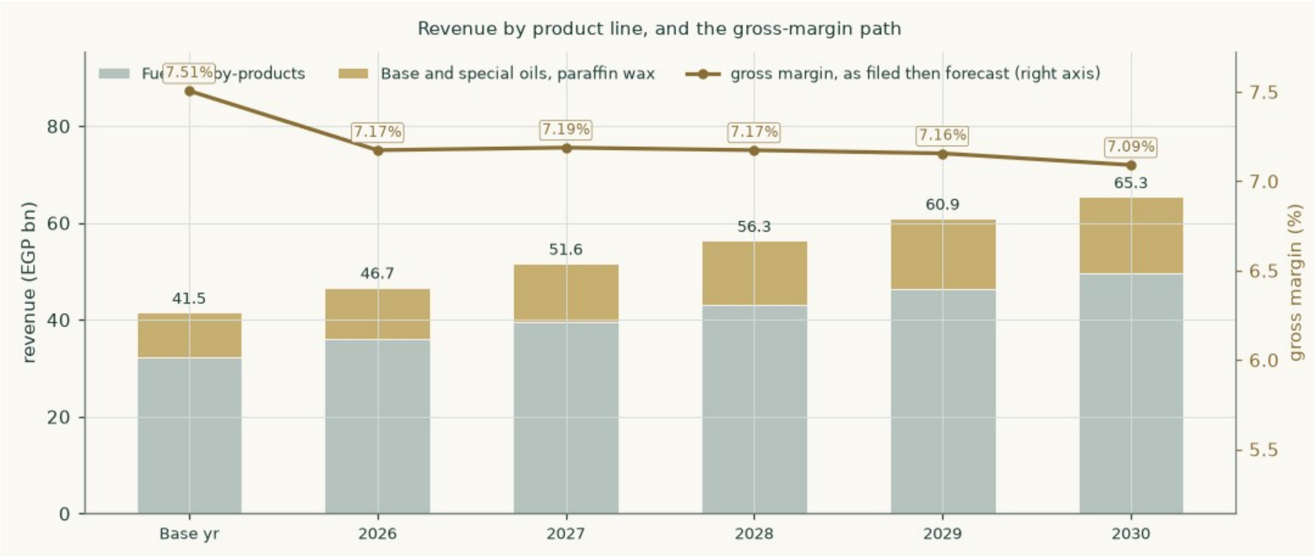

Figure 2 — revenue by audited product line, with the gross margin on the right axis: the base year as filed, then the forecast.

1.5 Cost of sales, as filed — and what it says about the business

Note 15-A splits cost of sales five ways. No part of it is built, estimated or solved.

Component	6M to Dec-2025 (EGP mn)	6M to Dec-2024 (EGP mn)	Share of cost of sales	Share of net sales
Raw materials	17,650	15,597	90.69%	85.12%
Salaries	881	635	4.53%	4.25%
Other — natural gas, electricity, water, spare parts, maintenance, EPROM contract	807	642	4.15%	3.89%
Supporting materials (chemicals and additives)	65	68	0.33%	0.31%
Depreciation	59	54	0.30%	0.28%
COST OF SALES	**19,462**	**16,995**	**100.00%**	**93.86%**

Raw materials are 90.7% of cost of sales and 85.1% of net sales. Everything else together is 9.3% of cost. This is a pass-through processor, and the previous edition's attempt to build the stack from yields and energy intensity produced a chemicals charge roughly five times the disclosed figure and carried NO salaries line inside cost of sales at all — against an actual EGP 881mn in the half.

The forecast keeps that composition and moves each component the way its own economics dictate: raw materials and supporting materials are PASS-THROUGH and move with volume and realisation; salaries and the other line are POUND-DENOMINATED and inflate; depreciation is the asset-register charge. The gross margin is what falls out. It is not a path and it is not an input.

	2026	2027	2028	2029	2030
Revenue (EGP mn)	46,666	51,604	56,321	60,895	65,333
Cost of sales (EGP mn)	(43,319)	(47,895)	(52,280)	(56,538)	(60,701)
GROSS MARGIN — an output	**7.17%**	**7.19%**	**7.17%**	**7.16%**	**7.09%**
Operating expense (EGP mn)	(1,856)	(2,098)	(2,339)	(2,573)	(2,817)

EBITDA (EGP mn)	1,639	1,759	1,849	1,932	1,963
EBIT (EGP mn)	1,491	1,611	1,701	1,784	1,815

The margin drifts from 7.17% to 7.09% — narrowing slightly, because the pound-denominated cost legs inflate faster than the realisation is assumed to grow. That is a mechanical consequence of the disclosed composition, not a view. A reader who thinks the company recovers currency in price faster should raise the realisation growth path and watch the margin widen.

1.6 The cost of capital, built rather than asserted

Component	Explicit window	Terminal	Note
Risk-free rate	22.3%	10.5%	10-year local-currency government bond today; the terminal rate is norm-built from the central bank's published medium-term inflation target plus an emerging-market real-rate convention
less sovereign default spread	(3.4%)	—	netted out so Egypt’s default risk is not charged twice — once inside the pound yield and again in the country premium
Beta	0.941	0.941	own-stock regression, R-squared 31.2%, n = 257
Equity risk premium	9.4%	7.0%	total premium on the credit-default-swap basis
COST OF EQUITY	**27.8%**	**17.1%**	
Cost of net debt, after tax	13.2%	11.7%	blend of what the EGP 21.0mn of borrowing costs and what the EGP 2,464mn cash pile EARNS, taxed at the AUDITED effective rate 22.12%
Debt weight	-26.2%	10%	NEGATIVE today, because the company is net cash
WEIGHTED COST OF CAPITAL	**31.6%**	**16.5%**	

The weighting runs the opposite way to the intuition most readers bring. Net debt is negative, so the debt weight is -26.2% and the equity weight 126.2%, and the result — 31.6% — sits ABOVE the 27.8% cost of equity rather than below it. That is the point of the construction: a company holding 21% of its market capitalisation in near-riskless cash has an observed equity cost that UNDERSTATES the risk of its operating assets, and unlevering for the cash is what recovers the operating rate.

One figure in that table changed when the filings arrived and it is worth naming: the tax rate inside the cost of net debt. The previous edition used an assumed 23.5%; the two filed periods give 22.12%. Building the workbook is what caught it, because the workbook computes the rate from the filings and the model was still carrying the assumption.

1.7 The discount-rate schedule, year by year

	2026	2027	2028	2029	2030
Cost of debt path	22.0%	19.5%	17.5%	16.0%	15.0%
Cumulative progress along that path	0.000	0.357	0.643	0.857	1.000
Forward cost of capital	**31.6%**	**26.2%**	**21.9%**	**18.7%**	**16.5%**
Cumulative discount factor	**0.7600**	**0.6022**	**0.4939**	**0.4162**	**0.3571**

The glide fractions are the cost-of-debt path’s own cumulative progress, so the shape is inherited from one assumed easing calendar rather than being a second free parameter. The terminal value is brought home on the year-five factor of 0.3571, the same factor that discounts year-five cash flow. One date, one price of time.

1.8 The free-cash-flow waterfall and the enterprise-value bridge

EGP mn	2026	2027	2028	2029	2030

EBIT	1,491	1,611	1,701	1,784	1,815
NOPAT = EBIT × (1 − 22.12%)	1,161	1,255	1,325	1,390	1,414
add back depreciation and amortisation	148	148	148	148	148
less capital expenditure (ACTUAL run rate, inflated)	(146)	(164)	(183)	(202)	(221)
less change in net working capital	(208)	(206)	(196)	(190)	(185)
FREE CASH FLOW TO THE FIRM	**955**	**1,032**	**1,093**	**1,145**	**1,156**
Discount factor	0.7600	0.6022	0.4939	0.4162	0.3571
PRESENT VALUE	**726**	**622**	**540**	**477**	**413**

Capital expenditure is held at the ACTUAL cash run rate from the two filings, inflated — EGP 146mn in the first forecast year against a depreciation charge of EGP 148mn. The previous edition modelled EGP 604mn. A reader who believes the plant must eventually be renewed should raise this line; it is the sharpest single criticism available of this valuation and section 1.9 and section 7 both say so.

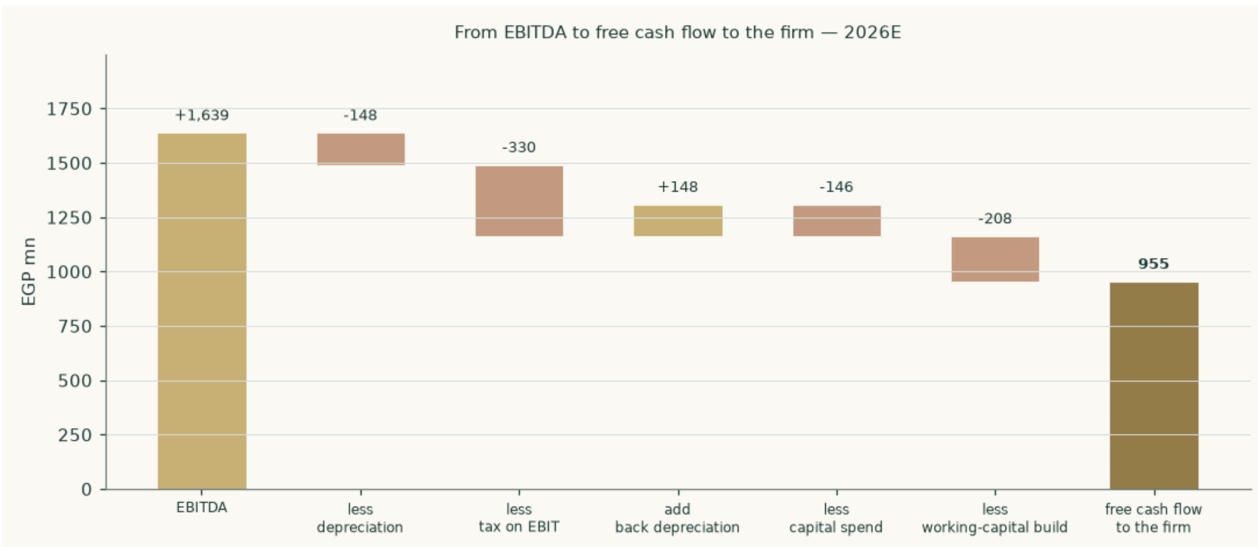

Figure 3 — the waterfall for the first forecast year, drawn to scale.

Enterprise value to equity	EGP mn	EGP / share
Present value of the explicit five years	2,777	2.15
Present value of the terminal block	3,942	3.05
TERMINAL VALUE AS A PERCENTAGE OF ENTERPRISE VALUE	**58.7%**	
ENTERPRISE VALUE (the operating assets)	**6,719**	**5.20**
less minority interests at 4.645%, ON THE ENTERPRISE VALUE	(312)	(0.24)
= operating assets attributable to shareholders	6,407	4.96
less net debt (negative — net cash is ADDED in full)	-2,443	-1.89
EQUITY ATTRIBUTABLE TO SHAREHOLDERS	**8,849**	**6.85**
Market price		9.10

The minority comes off the OPERATING enterprise value BEFORE the cash is added, because deducting a percentage of a total that already includes the cash would hand the minority a slice of the parent's balance. The rate is the DISCLOSED 4.645%, not the 3.0% the previous edition inferred. Two disclosed balances sit outside this bridge and are named rather than buried: EGP 509mn of deposits PLEDGED against credit facilities, which are not free cash and are excluded from net debt, and the EGP 921mn tax-disputes and claims provision — EGP 0.71 a share — which a reader who thinks the exposure is incremental should subtract.

1.9 The terminal block, and the check that now binds

Growth in perpetuity has to be paid for with capital. The reinvestment rate is forced to satisfy growth = return × reinvestment: at a terminal return of 35.4%, funding 5% of growth requires reinvesting 14.1% of profit. Terminal value is EGP 11,040mn, 58.7% of enterprise value.

THAT IS NOT THE HONEST READING OF THIS COMPANY'S RECORD, AND THE STUDY WILL NOT SMOOTH IT.

	6M Dec-2024	3M Mar-2025	6M Dec-2025	3M Mar-2026
Annualised return on invested capital	28.1%	22.2%	24.9%	66.0%
Reinvestment rate (capex less depreciation, over NOPAT)	-6.9%	+12.7%	-10.5%	+4.9%
Implied steady-state growth	**-1.9%**	**+2.8%**	**-2.6%**	**+3.2%**

Reinvestment is NEGATIVE in every audited period, because cash capital expenditure runs below the depreciation charge. Growth = return × reinvestment therefore implies a steady-state rate of about 0.4% — the company is shrinking its capital base, not compounding it.

So the adopted terminal rate of 5% is NOT supported by the reinvestment identity. Two readings are defensible and both are published rather than one being chosen quietly. Either the under-investment is temporary and capital expenditure must rise toward depreciation — in which case free cash flow in the explicit window is overstated by roughly EGP 2mn a year and the value falls — or it is durable, in which case the terminal growth rate should be at or below zero and the terminal block, 58.7% of enterprise value, is too large. The sensitivity grid runs terminal growth down to 3% and a reader can go lower; section 7 carries this as the study's sharpest unresolved weakness.

1.10 Sensitivities

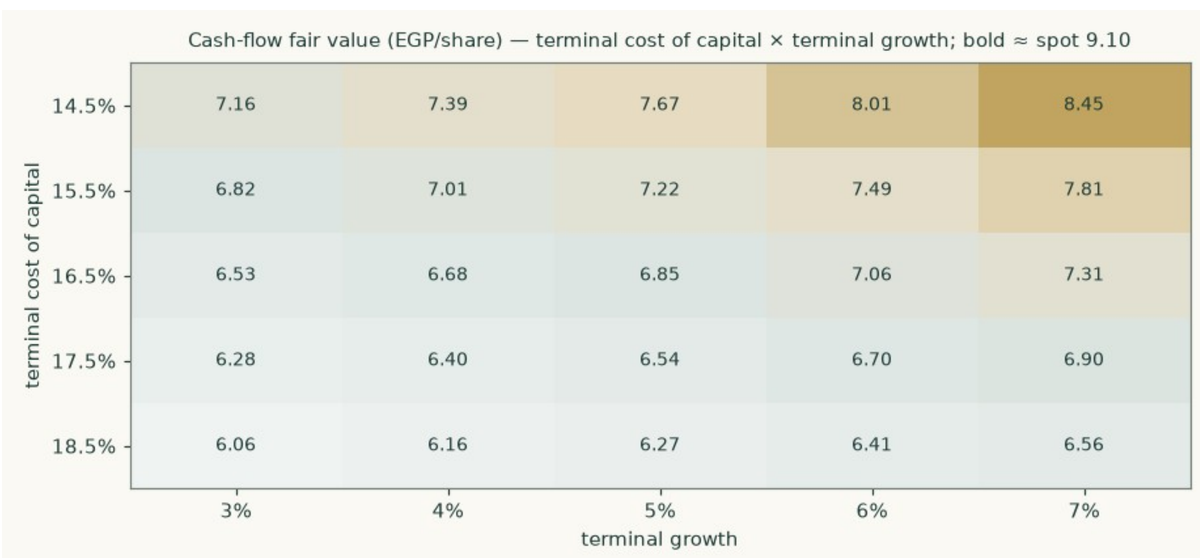

Figure 4 — fair value across the terminal cost of capital and the terminal growth rate.

Driver	Range tested	Fair value across the range (EGP)
Terminal cost of capital	14.5% – 18.5%	7.67 · 7.22 · 6.85 · 6.54 · 6.27
Terminal growth	3% – 7%	6.53 · 6.68 · 6.85 · 7.06 · 7.31
Explicit-window cost of capital	28.6% – 34.6%	7.09 · 6.97 · 6.85 · 6.74 · 6.63
Beta	0.60 – 1.30	8.24 · 7.40 · 6.93 · 6.35 · 6.01
Gross margin shift	-1.0% – +1.0%	4.81 · 5.83 · 6.85 · 7.87 · 8.89
Volume growth	zero to double the assumed path	2.76 · 4.64 · 6.85 · 9.22 · 11.76

Realised price growth	−10% to +10% on the assumed path	6.02 · 6.43 · 6.85 · 7.27 · 7.70
Net working capital	0% – 5% of revenue	8.52 · 8.12 · 6.85 · 7.32 · 6.52

The gross-margin row is the one to read first. A half-point either way on a business whose gross margin is 7.51% moves the answer by roughly EGP 1.02 a share — and the filed record swings between 5.05% and 10.19% from one quarter to the next. That is the honest measure of how much precision this valuation admits.

1.11 The three cross-check lenses

Relative multiples. 4.5× on 2027E EBITDA of EGP 1,759mn gives an enterprise value AS AT that year end; discounted back at the model's own factor of 0.6022 and with the interim free cash flow of EGP 1,348mn added back rather than dropped, that is EGP 6.41 a share.

Normalised earnings power. Every component is taken from 2028E: EBIT of EGP 1,701mn plus the AUDITED credit-interest line annualised at EGP 316mn, taxed at 22.12% and after minorities, gives EGP 1.16 a share. At 7.5× that is EGP 8.70. The interest line is disclosed in note 14-B and in both cash-flow statements; the previous edition used a modelled interest path off a projected cash balance instead.

Book value and sustainable return. The justified price-to-book identity gives 1.9× = (sustainable return 28% less growth 5%) ÷ (perpetual cost of equity 17.1% less growth), applied to AUDITED attributable book value of EGP 3.71 a share, for EGP 7.06. The book value is the filed parent equity divided by shares — not a reconstruction.

2 The price record

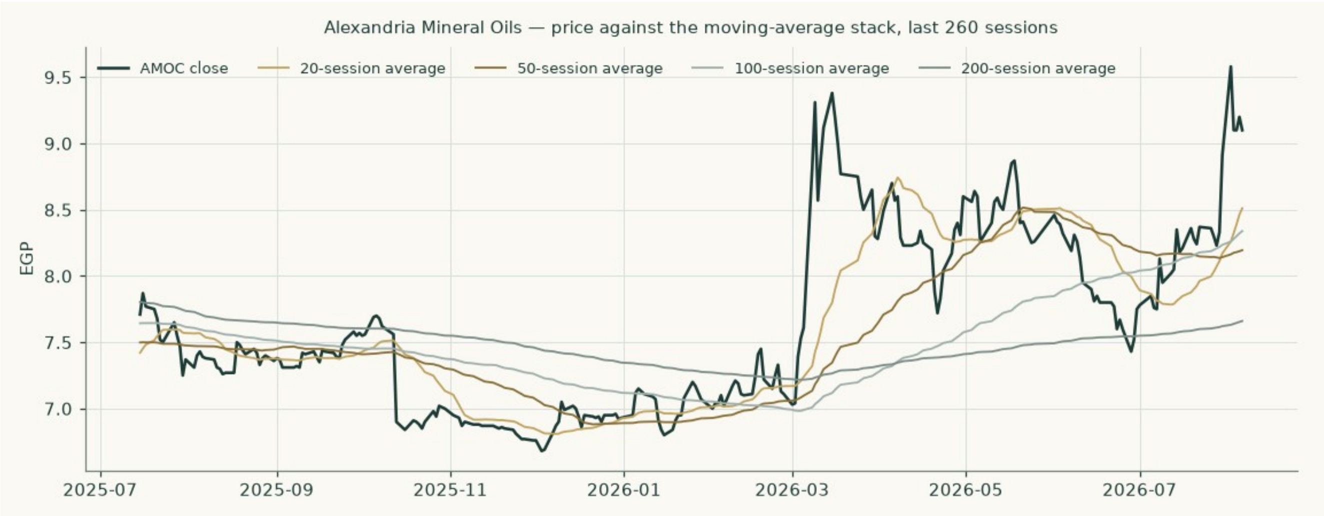

Figure 5 — the closing price against its 20, 50, 100 and 200-session moving averages.

The series runs from 2011-01-02 to 2026-08-06 and covers 3,754 clean sessions out of 3,755 raw rows, over 15.6 years at 240.8 sessions a year, which matches the exchange's Sunday-to-Thursday calendar. One row carrying a non-positive price was removed; 9.6% of sessions are flat. The largest single-session move in the whole history is 0.1813 in log terms, just INSIDE the exchange's ±20% daily price limit of 0.1823, so there is no unadjusted corporate action hiding in the series.

3 Where the price could trade

This section is a different object from the valuation above and is never blended with it. It is a probability map of the share price over one and three months, produced by simulating 50,000 paths from the cleaned price history with a volatility model fitted on the whole Egyptian market rather than on this name alone.

Figure 6 — the forward price cone to three months. The dashed rule is the fundamental central estimate; the dotted rule is the market price.

	One month	Three months
Calendar horizon date	2026-09-06	2026-11-06
Check date actually used	2026-09-06	2026-11-08
Sessions simulated	20	62
5th percentile	7.71	6.90
25th percentile	8.60	8.34
Median	9.17	9.33
75th percentile	9.79	10.42
95th percentile	10.91	12.60
Probability above today’s price	53.3%	56.0%
Probability 10% or more up	18.3%	33.2%
Probability 10% or more down	12.7%	21.6%
Annualised volatility at the anchor	41.8%	40.9%

The Egyptian Exchange trades Sunday to Thursday, so the three-month calendar target 2026-11-06 falls on a non-trading day and the cone is graded on the first session at or after it, 2026-11-08.

The drift is not a view. Over three months the simulated log drift is +0.0235 — the CARRY and nothing else: the local risk-free rate of 19.5% less the dividend yield of 8.8%, less the half-variance term. NO PART OF THE DRIFT COMES FROM THE VALUATION.

THE NAME-LEVEL CALIBRATION VERDICT IS PARITY, NOT SKILL, and that is stated before the favourable numbers rather than after them. On the production window set — the 17 post-break origins the standing gate scores — the margin over a carry-anchored random walk is +0.68% and the confidence interval straddles zero at every bootstrap block size. What carries the cone into this study is the MARKET-level gate: the 30-name Egyptian panel scores +1.58% with a confidence interval of [0.009, 0.022], which is a PASS. A reader looking for a name-level demonstration of forecasting edge will not find one here.

4 The two answers side by side

	What it says	Value
Fundamental central	What the business appears to be worth on the audited figures	7.16
Market price	What it costs today	9.10
Gap	Fundamental against market	-21.3%
Three-month median of the price map	The centre of the simulated distribution, which knows nothing about the valuation	9.33
Probability the price is above the fundamental central in three months	Read directly off the simulated distribution	93.1%

5 What would move the answer

- **The gross margin, which is genuinely volatile.** The filed record swings from 5.05% in the March-2025 quarter to 10.19% in the March-2026 quarter. A half-point across the whole path is worth about EGP 1.02 a share. Nothing else in this study moves the answer as much per unit of uncertainty.
- **Whether the under-investment reverses.** Cash capital expenditure is 0.86 times depreciation. If that is a deferral rather than a permanent feature, free cash flow in the explicit window is overstated by roughly EGP 2mn a year and the terminal block is built on a return that will not persist.
- **The pace of Egyptian disinflation.** Two points off the terminal cost of capital is worth about EGP 0.82 a share. The terminal rate is built from the central bank's own published target; if disinflation stalls, that assumption breaks first.
- **The counterparty, which is the state on both sides.** The Egyptian General Petroleum Corporation bought EGP 15,872mn of product in the audited half — 76.5% of net sales — and supplied EGP 16.3bn of feedstock in the same period. It sits on both sides of the trade. It is NOT a shareholder; Alexandria Petroleum Company holds 20.77%. A change in either administered price moves the margin with no change in the external environment.
- **Two disclosed balances outside the bridge.** A tax-disputes provision of EGP 921mn — EGP 0.71 a share — sits on the balance sheet, and EGP 509mn of deposits is pledged against credit facilities and is not free cash. Neither is inside the bridge.

6 Probability zones

Zone at three months	Probability
Below EGP 7.50	10.3%
EGP 7.50 – 7.16 (below the central estimate)	0.0%
EGP 7.16 – 9.10 (central to today)	37.1%
EGP 9.10 – 11.00 (above today)	40.1%
Above EGP 11.00	15.9%

Cut at the market price and at the fundamental central estimate, so the reader can see how much of the simulated distribution sits on each side of each.

7 Caveats — what is weak in this study

- **THE TERMINAL RATE AND THE REINVESTMENT RECORD CONTRADICT EACH OTHER.** Cash capital expenditure runs at 0.86 times depreciation across both filed periods. The model carries that forward, which lifts free cash flow. But growth = return × reinvestment then implies a NEGATIVE steady-state growth rate, while the terminal block adopts 5% and carries 58.7% of enterprise value. Those two statements cannot both be right. This is the sharpest unresolved weakness in the study and it is not answered here — it is disclosed, priced in the sensitivity grid, and left to the reader.

- **The base year is annualised, not filed.** There is no clean audited twelve-month period. The base year is nine contiguous audited months annualised by four thirds. If the missing April-to-June 2025 quarter was unusual in either direction, the base year is off by that amount and everything scales with it.
- **The margin is genuinely volatile and the forecast smooths it.** The filed gross margin swings from 5.05% to 10.19% between adjacent quarters. The forecast holds it near 7.17%. A single quarter is not a trend in either direction, and a reader who weights the March-2026 print more heavily would get a materially higher answer.
- **The terminal value carries most of the weight.** 58.7% of enterprise value sits beyond year five. Both terminal anchors are house views, disclosed as such, and neither is reverse-engineered from a price.
- **The counterparty is the state, on both sides.** The company neither buys its feedstock nor sells most of its output in an arm's-length market: EGPC took 76.5% of net sales in the audited half and supplied the feedstock. A margin forecast for a business like that is a forecast about an administered relationship.
- **A provision sits outside the bridge.** The EGP 921mn tax-disputes provision is recognised on the balance sheet but is not deducted from equity value in the bridge, on the view that the earnings discounted here are struck after the related tax charge. A reader who thinks the exposure is incremental should subtract EGP 0.71 a share.
- **Two free parameters remain, and they are named.** Volume growth by line and the growth in the realised price per tonne are the only free operating parameters left, and both are house judgements. Everything else — the margin composition, the tax rate, the asset base, the minority share, the dividend — is read off a filing.

Appendix A The filed periods

A.1 Profit or loss, as filed

EGP mn	6M Dec-2024	3M Mar-2025	6M Dec-2025	3M Mar-2026
Net sales	18,246	10,068	20,736	10,511
Cost of sales	(16,995)	(9,560)	(19,462)	(9,440)
GROSS PROFIT	**1,251**	**509**	**1,274**	**1,071**
Gross margin	6.85%	5.05%	6.14%	10.19%
Operating profit	744	247	486	643

Every column is as filed. No line is reconstructed, driven off a days assumption, or rolled back through profit and dividends — which is what the previous edition had to do for all four of its historical columns.

A.2 Balance sheet at 31 December 2025, as filed

EGP mn	Audited
Fixed assets, net (note 6)	893
Projects under construction (note 7)	407
Inventory, net (note 9-A)	2,847
Accounts receivable, net (note 9-B)	573
Debtors and other debit balances	366
Cash at banks and on hand (note 9-E)	2,464
Pledged deposits — not free cash	509
TOTAL ASSETS	**8,136**
Accounts and notes payable (note 10-3)	8

Creditors and other credit balances (note 11)	2,044
Provisions (note 10-1)	921
Long-term and short-term loans	21.0
TOTAL LIABILITIES	**3,312**
Total AMOC equity	4,791
Non-controlling interest	34
NET WORKING CAPITAL	1,734
INVESTED CAPITAL	3,034
NET CASH	**2,443**

Accounts and notes payable are EGP 8mn — the previous edition modelled a trade payable of about EGP 2,500mn funding the working-capital cycle. The funding actually sits in the EGPC current account of EGP 1,132mn inside creditors, which is a different thing with a different counterparty risk.